

SENATE BILL 1866

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 48, Chapter 1, Part 1 and Title 49, Chapter 4, Part 1, relative to matters regulated by the department of commerce and insurance.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 48-1-109(c), is amended by adding the following as a new subdivision:

(4) The person is exempted from the definition of an investment adviser or investment adviser representative by rule adopted by the commissioner pursuant to § 48-1-102(13)(F) or § 48-1-102(14)(B).

SECTION 2. Tennessee Code Annotated, Section 48-1-111(d)(4), is amended by deleting "in this subdivision (d)(4)" and substituting "in subdivision (d)(3)".

SECTION 3. Tennessee Code Annotated, Section 48-1-119(b), is amended by adding the following language at the end of the subsection:

Upon request of the commissioner, the chancery court shall appoint the commissioner as the receiver or the conservator for the defendant or the defendant's assets.

SECTION 4. Tennessee Code Annotated, Section 48-1-122(h), is amended by deleting the subsection and substituting:

(h) A private right of action brought by any person under this section must not be maintained unless commenced before the expiration of five (5) years after the act or transaction constituting the violation or the expiration of two (2) years after the discovery of the facts constituting the violation, or after such discovery should have been made by the exercise of reasonable diligence, whichever expires first.

SECTION 5. Tennessee Code Annotated, Section 48-1-128, is amended by deleting the section and substituting:

(a) The requirements of subsection (b) apply to the following:

(1) A broker-dealer or an agent with a principal place of business, branch office, or other business location in this state; or

(2) A broker-dealer or an agent previously registered in this state, with a principal place of business, branch office, or other business location in this state at the time during which the underlying customer dispute being sought to be expunged occurred.

(b) Prior to initiating a proceeding described in subdivision (b)(1)(A) or (b)(1)(B), a person described in subdivision (a)(1) or (a)(2) must:

(1) Provide the department with written notice at least sixty (60) days prior to:

(A) Filing to vacate, modify, or confirm an arbitration award relating to expungement of customer dispute information from the Central Registration Depository (CRD) system; or

(B) Filing an action in a court of competent jurisdiction to obtain expungement of customer dispute information from the CRD system; and

(2) Name the department as a party to the proceeding described in subdivision (b)(1)(A) or (b)(1)(B).

(c) Notwithstanding subdivision (b)(2), upon receiving the written notice required by subdivision (b)(1), the commissioner may, in the commissioner's discretion, waive the obligation of a person described in subdivision (a)(1) or (a)(2) to name the department as a party pursuant to a proceeding described in subdivision (b)(1)(A) or (b)(1)(B).

SECTION 6. Tennessee Code Annotated, Title 49, Chapter 4, Part 1, is amended by deleting the part.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it.